FMGT 3130 – week 2

Q1) On April 1, Wonder Travel Agency Inc. was established. These transactions were completed during the month.

1. Stockholders invested $30,000 cash in the company in exchange for common stock.

2. Paid $900 cash for April office rent.

3. Purchased office equipment for $3,400 cash.

4. Purchased $200 of advertising in the Chicago Tribune, on account.

5. Paid $500 cash for office supplies.

6. Performed services worth $12,000. Cash of $3,000 is received from customers, and the balance of $9,000 is billed to customers on account.

7. Paid $400 cash dividends.

8. Paid Chicago Tribune amount due in transaction (4).

9. Paid employees' salaries $1,800.

10. Received $9,000 in cash from customers billed previously in transaction (6).

a. Prepare a tabular analysis of the transactions.

b. From an analysis of the Retained Earnings columns, compute the net income or net loss for April.

WONDER TRAVEL AGENCY INC.

	Assets				Liabilities		Stockholders' Equity		
	Cash	A/R	Supplies	Equipment	A/P	Common Stock	Revenue	Expenses	Dividend
1	$30,000					$30,000			
2	($900)							($900)	
3	($3,400)			$3,400					
4					$200			($200)	
5	($500)		$500						
6	$3,000	$9,000					$12,000		
7	($400)								($400)
8	($200)				($200)				
9	($1,800)							($1,800)	
10	$9,000	($9,000)							
	$34,800	$0	$500	$3,400	$0	$30,000	$12,000	($2,900)	($400)

Net Income = Revenue – Expenses = $12,000 - $2,900 = $9,100

Q2) Bindy Crawford created a corporation providing legal services, Bindy Crawford Inc., on July 1, 2027. On July 31, the balance sheet showed Cash $4,000; Accounts Receivable $2,500; Supplies $500; Equipment $5,000; Accounts Payable $4,200; Common Stock $6,200; and Retained Earnings $1,600. During August, the following transactions occurred.

Aug 1	Collected $1,100 of accounts receivable due from customers.
Aug 4	Paid $2,700 cash for accounts payable due.
Aug 9	Performed services worth $5,400 of which $3,600 is collected in cash and the balance is due in September.
Aug 15	Purchased additional office equipment for $4,000, paying $700 in cash and the balance on account.
Aug 19	Paid salaries $1,400, rent for August $700, and advertising expenses $350.
Aug 23	Paid a cash dividend of $700.
Aug 26	Borrowed $5,000 from American Federal Bank; the money was borrowed on a 4-month note payable.
Aug 31	Incurred utility expenses for the month on account $380.

a. Prepare a tabular analysis of the August transactions beginning with July 31 balances.

b. Prepare an income statement for August, a retained earnings statement for August, and a balance sheet at August 31.

BINDY CRAWFORD INC.

	Assets				Liabilities		Stockholders' Equity				
	Cash	A/R	Supplies	Equipment	Note Payable	A/P	Common Stock	Retained Earnings	Revenue	Expenses	Dividend
July 31 Bal.	$4,000	$2,500	$500	$5,000		$4,200	$6,200	$1,600			
Aug 1	$1,100	($1,100)									
Aug 4	($2,700)					($2,700)					
Aug 9	$3,600	$1,800							$5,400		
Aug 15	($700)			$4,000		$3,300					
Aug 19	($2,450)									($1,400)	
										($700)	
										($350)	
Aug 23	($700)										($700)
Aug 26	$5,000				$5,000						
Aug 31						$380				($380)	
	$7,150	$3,200	$500	$9,000	$5,000	$5,180	$6,200	$1,600	$5,400	($2,830)	($700)

BINDY CRAWFORD INC.

Income Statement

For the Month Ended August 31, 2027

Revenues		
Service revenue		$5,400
Expenses		
Salaries and wages expense	($1,400)	
Rent expense	($700)	
Utilities expense	($380)	
Advertising expense	($350)	
Total expenses		($2,830)
Net income		$2,570

BINDY CRAWFORD INC.

Retained Earnings Statement

For the Month Ended August 31, 2027

Retained earnings, August 1	$1,600
Add: Net income	$2,570
	$4,170
Less: Dividends	($700)
Retained earnings, August 31	$3,470

BINDY CRAWFORD INC.

Balance Sheet

August 31, 2027

Assets		
Current assets		
Cash	$7,150	
Accounts receivable	$3,200	
Supplies	$500	
Total current assets		$10,850
Equipment		$9,000
Total assets		$19,850
Liabilities and Stockholders' Equity		
Current liabilities		
Notes payable	$5,000	
Accounts payable	$5,180	
Total current liabilities		$10,180
Stockholders' equity		
Common stock	$6,200	
Retained earnings	$3,470	
Total Stockholders’ equity		$9,670
Total liabilities and stockholders' equity		$19,850